FEDERAL RESERVE SYSTEM

Summary of Commentary on Current Economic Conditions by Federal Reserve District

Prepared at the Federal Reserve Bank of Richmond and based on information collected on or before June 22, 2026. This summary of commentary reflects information collected from contacts outside the Federal Reserve System and is not a commentary on the views of Federal Reserve officials.

National Summary

Overall Economic Activity

Economic activity expanded modestly across most Districts since the previous report. Contacts in several Districts described consumer spending as steady, with discretionary categories softer than staples. Nonresidential construction activity was reported as stable to slightly higher in a majority of Districts, while residential construction remained subdued amid still-elevated financing costs.

Several Districts noted that firms continued to describe demand as resilient but increasingly price-sensitive, with contacts reporting that customers were trading down or delaying larger purchases. Tourism and hospitality contacts in a number of Districts described a solid start to the summer travel season, offset in part by softer international visitor traffic at some gateway destinations.

Labor Markets

Employment was little changed on balance, with most Districts reporting modest net hiring alongside continued caution about adding headcount given uncertain demand. Contacts in several Districts noted that layoffs remained limited but that firms were more willing to let attrition run rather than backfill open positions. Wage growth was described as moderate, with the pace of increases continuing to ease from the elevated levels seen over the preceding two years.

A number of Districts reported that the pool of available candidates had improved further, giving employers somewhat more leverage in negotiating starting wages than earlier in the cycle. Contacts in professional and business services noted selective hiring concentrated in specialized technical roles.

Prices

Prices rose at a modest pace overall. Input cost pressures were described as mixed, with some contacts citing continued increases in certain imported materials and others noting easing freight costs. Firms in several Districts reported reduced ability to pass through cost increases to end customers given softer demand, compressing margins at the retail and wholesale level.

Contacts in a majority of Districts expected the pace of price increases to remain moderate over the next several months, with a few citing tariff-related cost pass-through as a continuing source of upside risk to their own pricing plans.

Eighth District - St. Louis

Economic conditions in the Eighth District were little changed since the previous report. Retail contacts described sales as flat to modestly higher on a year-over-year basis, with value-oriented retailers outperforming discretionary categories. Contacts noted continued caution among lower- and middle-income households, while higher-income household spending remained comparatively resilient.

Agricultural conditions across the District were mixed. Contacts reported that planting progress for the current season was running close to the five-year average, though persistent softness in several row-crop prices continued to weigh on farm income expectations. Input costs for seed, fertilizer and fuel were reported as roughly steady relative to the previous quarter.

Service-sector contacts, including firms in transportation and warehousing, described demand as stable, with several noting that freight volumes had firmed modestly after a soft start to the year. Contacts in tourism and hospitality reported a favorable outlook for the summer season, citing early booking data for regional attractions.

Bankers in the District reported that loan demand remained soft, particularly for commercial real estate, while consumer loan quality metrics were broadly stable. A small number of contacts noted a modest uptick in delinquencies among lower-income borrowers, consistent with trends reported nationally.

Nonprofit and public-sector contacts described stable staffing levels but flagged continued difficulty filling entry-level clerical and social-services positions, attributing the gap in part to competition from private-sector employers offering comparable pay at greater scheduling flexibility. Several contacts in the professional services segment reported that fee realizations had improved modestly relative to the prior quarter, consistent with the broader easing in the pace of client cost-cutting discussed elsewhere in this summary.

Residential real estate contacts across the District's metropolitan areas described existing-home sales volume as still constrained by limited inventory, with contacts noting that homeowners with mortgages originated at materially lower rates continued to be reluctant to list their homes for sale. New-home construction activity was reported as modestly higher than a year earlier, concentrated in entry-level and move-up price segments rather than the luxury segment.